

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
Condensed Consolidated Statements of Earnings
(Unaudited)

	For the three months ended		
	July 31, 2026	April 30, 2026	July 31, 2025
	In millions, except per share amounts		
Net revenue	\$ 12,213	\$ 10,678	\$ 9,136
Costs and Expenses:			
Cost of sales (exclusive of amortization shown separately below)	7,314	6,778	6,464
Research and development	1,158	922	622
Selling, general and administrative	1,962	1,830	1,496
Amortization of intangible assets	315	323	126
Acquisition, disposition and other charges	71	78	181
Total costs and expenses	10,820	9,931	8,889
Earnings from operations	1,393	747	247
Interest and other, net ⁽¹⁾	(75)	(73)	8
Gain on sale of equity interest	444	—	—
Gain on sale of a business	—	—	1
Earnings from equity interests	—	25	32
Earnings before provision for taxes	1,762	699	288
(Provision) benefit for taxes	(222)	(75)	17
Net earnings attributable to HPE	1,540	624	305
Preferred stock dividends	(29)	(29)	(29)
Net earnings attributable to common stockholders	\$ 1,511	\$ 595	\$ 276
Net Earnings Per Share Attributable to Common Stockholders:			
Basic	\$ 1.13	\$ 0.45	\$ 0.21
Diluted	1.06	0.44	0.21
Cash dividends declared per share	0.1425	0.1425	0.1300
Cash dividends accrued per preferred share	\$ 0.9531	\$ 0.9531	\$ 0.9531
Weighted-average Shares Used to Compute Net Earnings Per Share:			
Basic	1,336	1,335	1,325
Diluted	1,449	1,432	1,421

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
Condensed Consolidated Statements of Earnings
(Unaudited)

	For the nine months ended	
	July 31, 2026	July 31, 2025
	In millions, except per share amounts	
Net revenue	\$ 32,192	\$ 24,617
Costs and Expenses:		
Cost of sales (exclusive of amortization shown separately below)	20,053	17,481
Research and development	2,824	1,637
Selling, general and administrative	5,490	4,062
Amortization of intangible assets	949	201
Impairment charges	—	1,361
Acquisition, disposition and other charges	266	304
Total costs and expenses	29,582	25,046
Earnings (loss) from operations	2,610	(429)
Interest and other, net ⁽¹⁾	(202)	86
Gain on sale of equity interest	444	—
Gain on sale of a business	—	245
Earnings from equity interests	42	74
Earnings (loss) before provision for taxes	2,894	(24)
Provision for taxes	(278)	(94)
Net earnings (loss) attributable to HPE	2,616	(118)
Preferred stock dividends	(87)	(87)
Net earnings (loss) attributable to common stockholders	\$ 2,529	\$ (205)
Net Earnings (Loss) Per Share Attributable to Common Stockholders:		
Basic	\$ 1.89	\$ (0.16)
Diluted	1.82	(0.16)
Cash dividends declared per share	0.4275	0.3900
Cash dividends accrued per preferred share	\$ 2.8594	\$ 2.8594
Weighted-average Shares Used to Compute Net Earnings (Loss) Per Share:		
Basic	1,335	1,321
Diluted	1,441	1,321

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
Reconciliation of GAAP to Non-GAAP measures
(Unaudited)

	For the three months ended		
	July 31, 2026	April 30, 2026	July 31, 2025
	Dollars in millions		
GAAP net revenue	\$ 12,213	\$ 10,678	\$ 9,136
GAAP cost of sales	7,314	6,778	6,464
GAAP gross profit	4,899	3,900	2,672
Non-GAAP Adjustments			
Stock-based compensation expense	18	23	10
Acquisition, disposition and other charges ⁽²⁾	(3)	6	50
Cost reduction program	14	8	—
Non-GAAP gross profit	\$ 4,928	\$ 3,937	\$ 2,732
GAAP gross profit margin	40.1 %	36.5 %	29.2 %
Non-GAAP adjustments	0.3 %	0.4 %	0.7 %
Non-GAAP gross profit margin	40.4 %	36.9 %	29.9 %

	For the nine months ended	
	July 31, 2026	July 31, 2025
	Dollars in millions	
GAAP net revenue	\$ 32,192	\$ 24,617
GAAP cost of sales	20,053	17,481
GAAP gross profit	12,139	7,136
Non-GAAP Adjustments		
Stock-based compensation expense	65	40
Acquisition, disposition and other charges ⁽²⁾	37	47
Cost reduction program	27	46
H3C divestiture related severance costs	—	17
Non-GAAP gross profit	\$ 12,268	\$ 7,286
GAAP gross profit margin	37.7 %	29.0 %
Non-GAAP adjustments	0.4 %	0.6 %
Non-GAAP gross profit margin	38.1 %	29.6 %

	For the three months ended		
	July 31, 2026	April 30, 2026	July 31, 2025
	Dollars in millions		
GAAP earnings from operations	\$ 1,393	\$ 747	\$ 247
Non-GAAP Adjustments			
Amortization of intangible assets	315	323	126
Stock-based compensation expense	165	218	177
Cost reduction program	31	30	2
Acquisition, disposition and other charges ⁽²⁾	75	105	225
Non-GAAP earnings from operations	<u>\$ 1,979</u>	<u>\$ 1,423</u>	<u>\$ 777</u>
GAAP operating profit margin	11.4 %	7.0%	2.7 %
Non-GAAP adjustments	4.8 %	6.3 %	5.8 %
Non-GAAP operating profit margin	<u>16.2 %</u>	<u>13.3 %</u>	<u>8.5 %</u>

	For the nine months ended	
	July 31, 2026	July 31, 2025
	Dollars in millions	
GAAP earnings (loss) from operations	\$ 2,610	\$ (429)
Non-GAAP Adjustments		
Amortization of intangible assets	949	201
Impairment charges	—	1,361
Stock-based compensation expense	599	447
H3C divestiture related severance costs	—	97
Cost reduction program	84	148
Acquisition, disposition and other charges ⁽²⁾	342	345
Non-GAAP earnings from operations	<u>\$ 4,584</u>	<u>\$ 2,170</u>
GAAP operating profit margin	8.1 %	(1.7%)
Non-GAAP adjustments	6.1 %	10.5 %
Non-GAAP operating profit margin	<u>14.2 %</u>	<u>8.8 %</u>

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
Reconciliation of GAAP to Non-GAAP measures
(Unaudited)

	For the three months ended					
	July 31, 2026	Diluted Net EPS	April 30, 2026	Diluted Net EPS	July 31, 2025	Diluted Net EPS
Dollars in millions, except per share amounts						
GAAP net earnings attributable to common stockholders	\$ 1,511		\$ 595		\$ 276	
Preferred stock dividends	29		29		29	
GAAP net earnings attributable to HPE	\$ 1,540	\$ 1.06	\$ 624	\$ 0.44	\$ 305	\$ 0.21
Non-GAAP adjustments:						
Amortization of intangible assets	315	0.22	323	0.23	126	0.09
Stock-based compensation expense	165	0.11	218	0.15	177	0.12
Gain on sale of a business	—	—	—	—	(1)	—
Cost reduction program	31	0.02	30	0.02	2	—
Acquisition, disposition and other charges ⁽²⁾	75	0.05	105	0.08	225	0.17
Gain on sale of equity interest	(444)	(0.31)	—	—	—	—
Adjustments for equity interests	—	—	(25)	(0.02)	—	—
Litigation judgment	—	—	—	—	(52)	(0.04)
Loss on equity investments, net	—	—	3	—	1	—
Adjustments for taxes	(40)	(0.02)	(110)	(0.07)	(128)	(0.09)
Other adjustments ⁽³⁾	(32)	(0.02)	(32)	(0.04)	(24)	(0.02)
Non-GAAP net earnings attributable to HPE⁽⁴⁾	1,610	\$ 1.11	1,136	\$ 0.79	631	\$ 0.44
Preferred stock dividends	(29)		(29)		(29)	
Non-GAAP net earnings attributable to common stockholders	<u>\$ 1,581</u>		<u>\$ 1,107</u>		<u>\$ 602</u>	

	For the nine months ended			
	July 31, 2026	Diluted Net EPS	July 31, 2025	Diluted Net EPS ⁽⁷⁾
Dollars in millions, except per share amounts				
GAAP net earnings (loss) attributable to common stockholders	\$ 2,529		\$ (205)	\$ (0.16)
Preferred stock dividends	87		87	
GAAP net earnings (loss) attributable to HPE	\$ 2,616	\$ 1.82	\$ (118)	
Non-GAAP adjustments:				
Amortization of intangible assets	949	0.66	201	0.15
Impairment charges	—	—	1,361	1.03
Stock-based compensation expense	599	0.42	447	0.34
Gain on sale of a business	—	—	(245)	(0.19)
H3C divestiture related severance costs	—	—	97	0.07
Cost reduction program	84	0.06	148	0.11
Acquisition, disposition and other charges ⁽²⁾	342	0.24	345	0.26
Gain on sale of equity interest	(444)	(0.31)	—	—
Adjustments for equity interests	(42)	(0.03)	—	—
Litigation judgment	—	—	(52)	(0.04)
Gain on equity investments, net	(11)	(0.01)	(8)	—
Adjustments for taxes	(320)	(0.23)	(234)	(0.19)
Other adjustments ⁽³⁾	(97)	(0.07)	(82)	(0.06)
Non-GAAP net earnings attributable to HPE⁽⁴⁾	3,676	\$ 2.55	1,860	\$ 1.32
Preferred stock dividends	(87)		(87)	
Non-GAAP net earnings attributable to common stockholders	<u>\$ 3,589</u>		<u>\$ 1,773</u>	

	For the three months ended		
	July 31, 2026	April 30, 2026	July 31, 2025
In millions			
Net cash provided by operating activities	\$ 1,641	\$ 1,410	\$ 1,305
Investment in property, plant and equipment and software assets	(745)	(583)	(576)
Proceeds from sale of property, plant and equipment	92	130	90
Effect of exchange rate changes on cash, cash equivalents, and restricted cash	(30)	(42)	(29)
Free cash flow	<u>\$ 958</u>	<u>\$ 915</u>	<u>\$ 790</u>

	For the nine months ended	
	July 31, 2026	July 31, 2025
In millions		
Net cash provided by operating activities	\$ 4,229	\$ 454
Investment in property, plant and equipment and software assets	(1,897)	(1,651)
Proceeds from sale of property, plant and equipment	288	254
Effect of exchange rate changes on cash, cash equivalents, and restricted cash	(39)	9
Free cash flow	<u>\$ 2,581</u>	<u>\$ (934)</u>

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
Condensed Consolidated Balance Sheets

As of

July 31, 2026	October 31, 2025
(Unaudited)	(Audited)

In millions, except par value

ASSETS

Current assets:		
Cash and cash equivalents	\$ 6,216	\$ 5,773
Accounts receivable, net of allowances	6,185	5,290
Financing receivables, net of allowances	3,841	3,826
Inventory	11,823	6,352
Other current assets	5,800	3,753
Total current assets	33,865	24,994
Property, plant and equipment, net	5,645	6,002
Long-term financing receivables and other assets	14,632	13,817
Investments in equity interests	—	955
Goodwill and intangible assets	29,454	30,138
Total assets	\$ 83,596	\$ 75,906

LIABILITIES AND STOCKHOLDERS' EQUITY

Current liabilities:		
Notes payable and short-term borrowings	\$ 2,901	\$ 4,609
Accounts payable	13,734	7,731
Employee compensation and benefits	2,880	1,871
Deferred revenue	5,561	5,358
Other accrued liabilities	5,360	5,074
Total current liabilities	30,436	24,643
Long-term debt	17,343	17,756
Other non-current liabilities	9,241	8,753
Commitments and Contingencies		
Stockholders' Equity		
HPE stockholders' Equity:		
7.625% Series C mandatory convertible preferred stock, \$0.01 par value (30 shares issued and outstanding as of July 31, 2026 and October 31, 2025, respectively)	—	—
Common stock, \$0.01 par value (9,600 shares authorized; 1,328 and 1,318 shares issued and outstanding as of July 31, 2026 and October 31, 2025, respectively)	13	13
Additional paid-in capital	30,151	30,234
Accumulated deficit	(948)	(2,811)
Accumulated other comprehensive loss	(2,702)	(2,748)
Total HPE stockholders' equity	26,514	24,688
Non-controlling interests	62	66
Total stockholders' equity	26,576	24,754
Total liabilities and stockholders' equity	\$ 83,596	\$ 75,906

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
Condensed Consolidated Statements of Cash Flows
(Unaudited)

	For the nine months ended	
	July 31, 2026	July 31, 2025
	In millions	
Cash Flows from Operating Activities:		
Net earnings (loss) attributable to HPE	\$ 2,616	\$ (118)
Adjustments to Reconcile Net Earnings (Loss) Attributable to HPE to Net Cash Provided by Operating Activities:		
Depreciation and amortization	2,613	1,860
Impairment charges	—	1,361
Stock-based compensation expense	599	447
Provision for inventory and credit losses	477	339
Cost reduction program	84	148
Deferred taxes on earnings	(313)	(74)
Earnings from equity interests	(42)	(74)
Gain on sale of a business	—	(245)
Gain on sale of equity interest	(444)	—
Dividends received from equity investees	100	—
H3C divestiture related severance costs	—	97
Amortization of inventory fair value adjustment	31	—
Other, net	161	143
Changes in Operating Assets and Liabilities, Net of Acquisitions:		
Accounts receivable	(997)	(1,130)
Financing receivables	(224)	(3)
Inventory	(5,847)	1,385
Accounts payable	5,870	(2,595)
Other assets and liabilities	(455)	(1,087)
Net cash provided by operating activities	4,229	454
Cash Flows from Investing Activities:		
Investment in property, plant and equipment and software assets	(1,897)	(1,651)
Proceeds from sale of property, plant and equipment	288	254
Purchases of equity investments	(5)	(7)
Proceeds from sale of available-for-sale securities and other investments	10	47
Proceeds from maturities and redemptions of available-for-sale securities	—	48
Proceeds from sale of equity interest	1,357	—
Financial collateral posted	(737)	(755)
Financial collateral received	789	518
Payments made in connection with business acquisitions, net of cash acquired	—	(12,278)
Proceeds from sale of a business	—	210
Net cash used in investing activities	(195)	(13,614)
Cash Flows from Financing Activities:		
Short-term borrowings with original maturities less than 90 days, net	12	8
Proceeds from debt, net of issuance costs	2,546	5,333
Payment of debt	(4,686)	(1,663)

Net payments related to stock-based award activities	(338)	(229)
Repurchases of common stock	(447)	(102)
Cash dividends paid to preferred stockholders	(87)	(83)
Cash dividends paid to common stockholders	(568)	(513)
Other	(8)	(8)
Net cash (used in) provided by financing activities	(3,576)	2,743
Effect of exchange rate changes on cash, cash equivalents, and restricted cash	(39)	9
Change in cash, cash equivalents and restricted cash	419	(10,408)
Cash, cash equivalents and restricted cash at beginning of period	5,859	15,105
Cash, cash equivalents and restricted cash at end of period	<u>\$ 6,278</u>	<u>\$ 4,697</u>

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
Segment Information
(Unaudited)

	For the three months ended		
	July 31, 2026	April 30, 2026	July 31, 2025
	In millions		
Net Revenue ⁽⁵⁾ :			
Networking	\$ 2,893	\$ 2,690	\$ 1,654
Cloud & AI	9,042	7,707	7,212
Corporate Investments and Other	278	281	270
Total segment net revenue	12,213	10,678	9,136
Earnings Before Taxes ⁽⁵⁾ :			
Networking	637	581	365
Cloud & AI	1,539	954	504
Corporate Investments	(67)	(9)	(19)
Total segment earnings from operations	2,109	1,526	850
Unallocated corporate costs and eliminations	(130)	(103)	(73)
Stock-based compensation expense	(165)	(218)	(177)
Amortization of intangible assets	(315)	(323)	(126)
Gain on sale of a business	—	—	1
Cost reduction program	(31)	(30)	(2)
Acquisition, disposition and other charges ⁽²⁾	(75)	(105)	(225)
Interest and other, net ⁽¹⁾	(75)	(73)	8
Gain on sale of equity interest	444	—	—
Earnings from equity interests	—	25	32
Total pretax earnings	\$ 1,762	\$ 699	\$ 288

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
Segment Information
(Unaudited)

	For the nine months ended	
	July 31, 2026	July 31, 2025
	In millions	
Net Revenue ⁽⁵⁾ :		
Networking	\$ 8,289	\$ 3,814
Cloud & AI	23,083	19,994
Corporate Investments and Other	820	809
Total segment net revenue	32,192	24,617
Earnings Before Taxes ⁽⁵⁾ :		
Networking	1,858	956
Cloud & AI	3,138	1,465
Corporate Investments	(88)	(34)
Total segment earnings from operations	4,908	2,387
Unallocated corporate costs and eliminations	(324)	(217)
Stock-based compensation expense	(599)	(447)
Amortization of intangible assets	(949)	(201)
Impairment charges	—	(1,361)
Gain on sale of a business	—	245
H3C divestiture related severance costs	—	(97)
Cost reduction program	(84)	(148)
Acquisition, disposition and other charges ⁽²⁾	(342)	(345)
Interest and other, net ⁽¹⁾	(202)	86
Gain on sale of equity interest	444	—
Earnings from equity interests	42	74
Total pretax earnings (loss)	\$ 2,894	\$ (24)

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
Segment Information
(Unaudited)

	For the three months ended			Change (%)	
	July 31, 2026	April 30, 2026	July 31, 2025	Q/Q	Y/Y
Dollars in millions					
Net Revenue:					
Networking ⁽⁵⁾					
Campus & Branch	\$ 1,442	\$ 1,322	\$ 1,101	9.1%	31.0%
Data Center Networking	382	320	180	19.4	112.2
Security	281	273	160	2.9	75.6
Routing	788	775	213	1.7	270.0
Total	2,893	2,690	1,654	7.5	74.9
Cloud & AI ⁽⁵⁾					
Server	6,766	5,454	5,000	24.1	35.3
Storage	1,291	1,175	1,171	9.9	10.2
Financial Services	883	904	886	(2.3)	(0.3)
Other	102	174	155	(41.4)	(34.2)
Total	9,042	7,707	7,212	17.3	25.4
Corporate Investments and Other	278	281	270	(1.1)	3.0
Total consolidated net revenue	<u>\$ 12,213</u>	<u>\$ 10,678</u>	<u>\$ 9,136</u>	14.4%	33.7%

	For the nine months ended		Change (%)
	July 31, 2026	July 31, 2025	Y/Y
Dollars in millions			
Net Revenue:			
Networking ⁽⁵⁾			
Campus & Branch	\$ 3,991	\$ 2,845	40.3%
Data Center Networking	1,146	368	211.4
Security	809	386	109.6
Routing	2,343	215	989.8
Total	8,289	3,814	117.3
Cloud & AI ⁽⁵⁾			
Server	16,452	13,457	22.3
Storage	3,527	3,374	4.5
Financial Services	2,663	2,615	1.8
Other	441	548	(19.5)
Total	23,083	19,994	15.4
Corporate Investments and Other	820	809	1.4
Total consolidated net revenue	<u>\$ 32,192</u>	<u>\$ 24,617</u>	30.8%

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
Segment Operating Margin Summary Data
(Unaudited)

	For the three months ended			Change in operating profit margin (pts)	
	July 31, 2026	April 30, 2026	July 31, 2025	Q/Q	Y/Y
Segment Operating Profit Margin:					
Networking	22.0 %	21.6 %	22.1 %	0.4	(0.1)
Cloud & AI	17.0 %	12.4 %	7.0 %	4.6	10.0
Corporate Investments and Other	(24.1%)	(3.2%)	(7.0%)	(20.9)	(17.1)
Total segment operating profit margin	17.3 %	14.3 %	9.3 %	3.0	8.0

	For the nine months ended		Change in operating profit margin (pts)
	July 31, 2026	July 31, 2025	Y/Y
Segment Operating Profit Margin:			
Networking	22.4 %	25.1 %	(2.7)
Cloud & AI	13.6 %	7.3 %	6.3
Corporate Investments and Other	(10.7%)	(4.2%)	(6.5)
Total segment operating profit margin	15.2 %	9.7 %	5.5

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
Calculation of Diluted Net Earnings Per Share
(Unaudited)

	For the three months ended		
	July 31, 2026	April 30, 2026	July 31, 2025
In millions, except per share amounts			
Numerator:			
GAAP net earnings attributable to common stockholders - Basic	\$ 1,511	\$ 595	\$ 276
Plus: 7.625% Series C mandatory convertible preferred stock dividends	29	29	29
GAAP net earnings attributable to HPE - Diluted	<u>\$ 1,540</u>	<u>\$ 624</u>	<u>\$ 305</u>
Non-GAAP net earnings attributable to common stockholders - Basic	\$ 1,581	\$ 1,107	\$ 602
Plus: 7.625% Series C mandatory convertible preferred stock dividends	29	29	29
Non-GAAP net earnings attributable to HPE - Diluted	<u>\$ 1,610</u>	<u>\$ 1,136</u>	<u>\$ 631</u>
Denominator:			
Weighted-average shares used to compute basic net EPS	1,336	1,335	1,325
Dilutive effect of employee stock plans ⁽⁶⁾	37	21	16
Dilutive effect of 7.625% Series C mandatory convertible preferred stock ⁽⁶⁾	<u>76</u>	<u>76</u>	<u>80</u>
Weighted-average shares used to compute diluted net EPS	<u>1,449</u>	<u>1,432</u>	<u>1,421</u>
GAAP Net EPS			
Basic	\$ 1.13	\$ 0.45	\$ 0.21
Diluted	\$ 1.06	\$ 0.44	\$ 0.21
Non-GAAP Net EPS			
Basic	\$ 1.18	\$ 0.83	\$ 0.45
Diluted ⁽⁴⁾	\$ 1.11	\$ 0.79	\$ 0.44

	For the nine months ended	
	July 31, 2026	July 31, 2025
	In millions, except per share amounts	
Numerator:		
GAAP net earnings (losses) attributable to common stockholders - Basic	\$ 2,529	\$ (205)
Plus: 7.625% Series C mandatory convertible preferred stock dividends	87	—
GAAP net earnings (losses) attributable to HPE - Diluted	<u>\$ 2,616</u>	<u>\$ (205)</u>
Non-GAAP net earnings attributable to common stockholders - Basic	\$ 3,589	\$ 1,773
Plus: 7.625% Series C mandatory convertible preferred stock dividends	87	87
Non-GAAP net earnings attributable to HPE - Diluted	<u>\$ 3,676</u>	<u>\$ 1,860</u>
Denominator:		
Weighted-average shares used to compute basic net EPS	1,335	1,321
Dilutive effect of employee stock plans ⁽⁷⁾	30	—
Dilutive effect of 7.625% Series C mandatory convertible preferred stock ⁽⁷⁾	76	—
Weighted-average shares used to compute diluted net EPS	<u>1,441</u>	<u>1,321</u>
Denominator (Non-GAAP):		
Weighted-average shares used to compute basic net EPS	1,335	1,321
Dilutive effect of employee stock plans ⁽⁷⁾	30	14
Dilutive effect of 7.625% Series C mandatory convertible preferred stock ⁽⁷⁾	76	78
Weighted-average shares used to compute diluted net EPS	<u>1,441</u>	<u>1,413</u>
GAAP Net EPS		
Basic	\$ 1.89	\$ (0.16)
Diluted	\$ 1.82	\$ (0.16)
Non-GAAP Net EPS		
Basic	\$ 2.69	\$ 1.34
Diluted ⁽⁴⁾	\$ 2.55	\$ 1.32

- (1) Interest and other, net includes tax indemnification and other adjustments, non-service net periodic benefit credit, and interest and other, net. The three and nine months ended July 31, 2025, include a \$52 million litigation settlement which HPE received in the third quarter of fiscal 2025.
- (2) For the nine months ended July 31, 2026 and 2025, and for the three months ended July 31, 2025, Acquisition, disposition and other charges include non-cash amortization of fair value adjustment for inventory in connection with the acquisition of Juniper Networks, which was recorded in cost of sales.
- (3) Other adjustments includes non-service net periodic benefit credit and tax indemnification and other adjustments.
- (4) For purposes of calculating diluted net EPS, the preferred stock dividends are added back to the net earnings attributable to common stockholders and the diluted weighted average share calculation assumes the preferred stock was converted at issuance or as of the beginning of the reporting period.
- (5) Effective at the beginning of the first quarter of fiscal 2026, HPE implemented an organizational change by (i) merging the Server, Hybrid Cloud, and Financial Services business segments into a new segment named Cloud & AI and (ii) transferring the Telco and Instant On businesses to Corporate Investments and Other from Networking. The Company reflected these changes to its segment information retrospectively. These changes had no impact on Hewlett Packard Enterprise's previously reported consolidated net revenue, net earnings, net earnings per share or total assets.
- (6) The impact of dilutive effect of employee stock plans is calculated under the treasury stock method, and the impact of dilutive effect of the preferred stock is calculated under the if-converted method. For the nine months ended July 31, 2025, the effect of employee stock plans and preferred stock is excluded as it would be anti-dilutive.

- (7) For the nine months ended July 31, 2025, the diluted net EPS adjustment includes the impact to Non-GAAP net earnings attributable to HPE for the dilutive effect of preferred stock.

Use of non-GAAP financial measures

To supplement Hewlett Packard Enterprise's condensed consolidated financial statement information presented on a GAAP basis, Hewlett Packard Enterprise provides non-GAAP financial measures, non-GAAP gross profit, non-GAAP gross profit margin, non-GAAP operating profit (non-GAAP earnings from operations), non-GAAP operating profit margin (non-GAAP earnings from operations as a percentage of net revenue), non-GAAP income tax rate, non-GAAP net earnings attributable to HPE, non-GAAP net earnings attributable to common stockholders, non-GAAP diluted net earnings per share attributable to common stockholders, and FCF. Hewlett Packard Enterprise also provides, non-GAAP diluted net earnings per share, non-GAAP operating profit growth, and FCF.

These non-GAAP financial measures are not computed in accordance with, or as an alternative to, GAAP in the United States. The GAAP measure most directly comparable to non-GAAP gross profit is gross profit. The GAAP measure most directly comparable to non-GAAP gross profit margin is gross profit margin. The GAAP measure most directly comparable to non-GAAP operating profit (non-GAAP earnings from operations) is earnings from operations. The GAAP measure most directly comparable to non-GAAP operating profit margin (non-GAAP earnings from operations as a percentage of net revenue) is operating profit margin (earnings from operations as a percentage of net revenue). The GAAP measure most directly comparable to non-GAAP income tax rate is income tax rate. The GAAP measure most directly comparable to non-GAAP net earnings attributable to HPE and non-GAAP net earnings attributable to common stockholders is net earnings. The GAAP measure most directly comparable to non-GAAP diluted net earnings per share attributable to common stockholders is diluted net earnings per share attributable to common stockholders. The GAAP measure most directly comparable to FCF is cash flow from operations. Reconciliations of each of these non-GAAP financial measures to their most directly comparable GAAP measures for this quarter and prior periods are included in the tables above or elsewhere in the materials accompanying this news release.

Usefulness of non-GAAP financial measures to investors

Hewlett Packard Enterprise believes that providing the non-GAAP financial measures stated above, in addition to the related GAAP measures provides investors with greater transparency to the information used by Hewlett Packard Enterprise's management in its financial and operational decision making and allows investors to see Hewlett Packard Enterprise's results "through the eyes" of management. Hewlett Packard Enterprise further believes that providing this information provides Hewlett Packard Enterprise's investors with a supplemental view to understand the Company's historical and prospective operating performance and to evaluate the efficacy of the methodology and information used by Hewlett Packard Enterprise's management to evaluate and measure such performance. Disclosure of these non-GAAP financial measures also facilitates the comparisons of Hewlett Packard Enterprise's operating performance with the performance of other companies in the same industry that supplement their GAAP results with non-GAAP financial measures that may be calculated in a similar manner.

Economic substance of and material limitations associated with non-GAAP financial measures used by Hewlett Packard Enterprise

Non-GAAP gross profit and non-GAAP gross profit margin are defined to exclude charges related to the stock-based compensation expense, acquisition, disposition and other charges, severance costs associated with the cost reduction program, and H3C divestiture related severance costs. Non-GAAP operating profit (non-GAAP earnings from operations) and non-GAAP operating profit margin (non-GAAP earnings from operations as a percentage of net revenue) consist of earnings from operations or earnings from operations as a percentage of net revenue excluding the items mentioned above and charges relating to the amortization of intangible assets, and impairment charges. Non-GAAP net earnings, Non-GAAP net earnings attributable to HPE, non-GAAP net earnings attributable to common stockholders, and non-GAAP diluted net earnings per share attributable to common stockholders consist of net earnings or diluted net earnings per share excluding the charges previously stated, as well as gain on sale of a business, gain on sale of equity interest, adjustments for equity interests, gain or loss on equity investments, litigation judgments, other adjustments, and adjustments for taxes. Non-GAAP net earnings attributable to HPE and non-GAAP diluted net earnings per share attributable to common stockholders includes preferred stock dividends added back to non-GAAP net earnings attributable to HPE. The Adjustments for taxes line item includes certain income tax valuation allowances and separation taxes, the impact of tax reform, structural rate adjustment, excess tax benefit from stock-based compensation, and adjustments for additional taxes or tax benefits associated with each non-GAAP item.

Hewlett Packard Enterprise believes that excluding the items mentioned above from the non-GAAP financial measures provides a supplemental view to management and investors of its consolidated financial performance and presents the financial results of the business without costs that Hewlett Packard Enterprise's management does not believe to be reflective of ongoing operating results. Exclusion of these items can have a material impact on the equivalent GAAP measure and cash flows thus limiting their use as analytical tools. These limitations are discussed below or elsewhere in the materials

accompanying this news release. More specifically, Hewlett Packard Enterprise's management excludes each of those items mentioned above for the following reasons:

- Stock-based compensation expense consists of equity awards granted based on the estimated fair value of those awards at grant date. Although stock-based compensation is a key incentive offered to employees, HPE excludes these charges for the purpose of calculating these non-GAAP measures, primarily because they are non-cash expenses, and the Company's internal benchmarking analyses evidence that many industry participants and peers present non-GAAP financial measures excluding stock-based compensation expense.
- HPE incurred costs related to its acquisition, disposition and other charges. Charges include expenses associated with acquisitions, non-cash amortization of fair value adjustment for inventory in connection with the Merger, exit costs associated with disposal activities, transformation costs (credits), and disaster (recovery) charges. HPE excludes these costs because the Company considers these charges to be discrete events and does not believe they are reflective of normal continuing business operations. Acquisition charges were driven by costs associated with the Merger and miscellaneous disposition related charges.
- HPE incurred severance and other charges pursuant to cost management initiatives. HPE excludes these charges because management does not believe they are reflective of normal continuing business operations. HPE believes eliminating these adjustments for the purposes of calculating non-GAAP measures facilitates the evaluation of its current operating performance.
- HPE incurred H3C divestiture related severance costs in connection with the disposition of issued share capital of H3C held by HPE. The divestiture resulted in decreased future investment earnings and cash dividend inflows resulting in a decision to implement offsetting cost savings measures. These measures include severance for certain of the Company's employees. The non-GAAP adjustment represents our costs to execute these related exit actions to offset the loss in equity earnings and related cash flows.
- HPE incurs charges relating to the amortization of intangible assets and excludes these charges for purposes of calculating these non-GAAP measures. Such charges are significantly impacted by the timing and magnitude of the Company's acquisitions. HPE excludes these charges for the purpose of calculating these non-GAAP measures, primarily because they are non-cash expenses and the Company's internal benchmarking analyses evidence that many industry participants and peers present non-GAAP financial measures excluding intangible asset amortization. Although this does not directly affect HPE's cash position, the loss in value of intangible assets over time can have a material impact on the equivalent GAAP earnings measure.
- In fiscal 2025, HPE recorded non-cash impairment charges for the goodwill associated with its Cloud & AI (excluding Financial Services) reporting unit and the impairment of certain fixed assets. HPE believes that these non-cash charges do not reflect the Company's operating results and is not indicative of the underlying performance of the business. HPE excludes these charges for purposes of calculating these non-GAAP measures to facilitate the evaluation of the Company's current operating performance and comparisons to past operating results. Although this does not directly affect the Company's cash position, the loss in value of goodwill over time can have a material impact on the equivalent GAAP earnings measure.
- Gain on sale of a business represents the gain associated with certain disposal activities. On December 1, 2024, HPE completed the disposition of the Company's Communication Technology Group which resulted in a gain of \$248 million. The Company's management considers this divestiture to be a discrete event and believes eliminating this adjustment for the purposes of calculating non-GAAP measures facilitates the evaluation of its current operating performance.
- Beginning in fiscal 2026, HPE stopped reporting H3C earnings in our non-GAAP results due to the divestiture of our H3C investment. In May 2026, the Company sold the remaining equity interest in H3C, which resulted in a gain of \$444 million and is included in the fiscal 2026 adjustment Gain on sale of equity interest. The Company believes that eliminating these amounts for purposes of calculating non-GAAP financial measures facilitates the evaluation of its current operating performance.
- HPE excludes gains and losses (including impairments) on its non-marketable equity investments because the Company does not believe they are reflective of normal continuing business operations. These adjustments are reflected in Interest and other, net in the Condensed Consolidated Statements of Earnings. The Company believes eliminating these adjustments for the purposes of calculating non-GAAP measures facilitates the evaluation of its current operating performance.
- Hewlett Packard Enterprise utilizes a structural long-term projected non-GAAP income tax rate in order to provide consistency across the interim reporting periods and to eliminate the effects of items not directly related to the Company's operating structure that can vary in size, frequency and timing. When projecting this long-term rate, HPE evaluated a three-year financial projection. The projected rate assumes no incremental acquisitions in the three-year projection period and considers other factors including the Company's expected tax structure, its tax positions in

various jurisdictions and current impacts from key legislation implemented in major jurisdictions where HPE operates. For fiscal 2026, HPE will use a projected non-GAAP income tax rate of 14%, which reflects currently available information as well as other factors and assumptions. For fiscal 2025, HPE used a projected non-GAAP income tax rate of 15%. The non-GAAP income tax rate could be subject to change for a variety of reasons, including the rapidly evolving global tax environment, significant changes in the Company's geographic earnings mix including due to acquisition activity, or other changes to the Company's strategy or business operations. HPE will re-evaluate its long-term rate as appropriate. HPE believes that making these adjustments for purposes of calculating non-GAAP measures, facilitates a supplemental evaluation of the Company's current operating performance and comparisons to past operating results.

- FCF is defined as cash flow from operations, less net capital expenditures (investments in property, plant & equipment ("PP&E") and software assets less proceeds from the sale of PP&E), and adjusted for the effect of exchange rate fluctuations on cash, cash equivalents, and restricted cash. FCF does not represent the total increase or decrease in cash for the period. Hewlett Packard Enterprise's management and investors can use FCF for the purpose of determining the amount of cash available for investment in the Company's businesses, repurchasing stock and other purposes as well as evaluating its historical and prospective liquidity.

Compensation for material limitations with use of non-GAAP financial measures

These non-GAAP financial measures have limitations as analytical tools, and these measures should not be considered in isolation or as a substitute for analysis of Hewlett Packard Enterprise's results as reported under GAAP. Some of the limitations in relying on these non-GAAP financial measures are that they can have a material impact on the equivalent GAAP earnings measures and cash flows, they may be calculated differently by other companies (limiting the usefulness of those measures for comparative purposes) and may not reflect the full economic effect of the loss in value of certain assets. Hewlett Packard Enterprise compensates for these limitations on the use of non-GAAP financial measures by relying primarily on its GAAP results and using non-GAAP financial measures only as a supplement. Hewlett Packard Enterprise also provides a reconciliation of each non-GAAP financial measure to its most directly comparable GAAP financial measure for this quarter and prior periods within this news release and in other written materials that include these non-GAAP financial measures, and Hewlett Packard Enterprise encourages investors to review those reconciliations carefully.